

6 Steps to Eliminating Your Debt Painlessly

Eliminating debt painlessly. Rarely do you see these words fit together in a neat little sentence. The very act of putting your hard-earned money toward the stack of debts you've accrued is painful. The good news is you can snowball your progress against mounting debts if you use this high-interest-first debt-reduction plan.

1. First things first: Write down each debt vehicle you have, the amount of the debt, and the rate of interest charged.

Department store cards are inevitably the worst culprits, charging interest rates that border on criminal. Next in line are usually the credit cards, student loans, then lines of credit, and your parents (unfortunately, they usually come last).

Let's say you are juggling a number of debts, from student loans to credit cards to that loan your parents don't expect to ever see repaid but

won't let you forget about either. For example, your accounting of what you owe might look like the chart found on page 231.

2. Determine how much money you have available each month to put toward all your debts.

If you're like most people on a tight budget, you probably haphazardly throw the minimum payment plus a bit at each debt every month, hoping that eventually it will all magically disappear. Unfortunately, making minimum payments on most credit cards is a sentence to upward of 15 years of paying off that debt, and paying at least double the original balance in interest only.

Let's say the total amount you can put toward your debt each month is \$450.

Your minimum payments due each month add up to \$347. You have \$103 left over to allocate. Should you spread the \$103 "surplus" across all your debt or choose one to pay off first? Which one?

3. Choose the highest-interest debt on your list.

I don't care if it's the highest or lowest balance, just look at the interest rate.